Rossari Biotech Ltd

Concall tracker · filed under Q2-2027 · 11 Nov 2026

1. Snapshot

Rossari makes specialty chemicals for other businesses: home, personal care and performance chemicals (HPPC, its biggest division, including surfactants, agro adjuvants, pharma excipients and oil and gas solutions), textile chemicals, and animal health and nutrition products. It also has a small institutional and B2C (consumer) business it plans to exit.

- Market cap about Rs 2,380 cr: a small-cap chemical company.
- Q2 FY27 revenue Rs 697.6 cr, up 19%, and EBITDA Rs 87 cr, up 21%: both record highs.
- EBITDA margin 12.5% vs 12.3% a year ago: barely moved despite the growth.
- PAT Rs 38.9 cr, up only 5.5%: profit lagged sales; staff and other costs rose with spending on new geographies, the Thailand plant and the new R&D centre.
- Core B2B EBITDA margin 14.1% vs 14.8% a year ago: the main business actually earned a slightly thinner margin.
- Net debt Rs 221 cr, down from Rs 281 cr in March 2026; working-capital days 86 vs 97: cash is coming back in.
- Exports 31% of Q2 revenue (27% in H1), up from about 27-28% expected a year earlier.

2. Concall coverage

Screener lists 26 Rossari transcripts back to 2020. This report reads the last 12 (Q3 FY24 to Q2 FY27, about three years), with the latest call (19 Oct 2026) read in full and earlier calls read for guidance and delivery.

Quarter / call	Date	Transcript read?
Q3 FY24 to Q4 FY25 (6 calls)	Jan 2024 - May 2025	Yes, read for promises
Q1 FY26 to Q3 FY26	Jul 2025 - Jan 2026	Yes
Q4 FY26	May 2026	Yes
Q1 FY27	Jul 2026	Yes
Q2 FY27	19 Oct 2026	Yes, read in full

2b. Latest concall highlights: Q2 FY27 (19 Oct 2026)

- Record quarter: revenue up 19% and EBITDA up 21%. HPPC up 18%, textiles up 26% (exports to Bangladesh, Southeast Asia, Turkey, Latin America, plus the new Thailand blending plant), animal health up 11%.
- Board approved leasing land in Saudi Arabia for a greenfield plant through a wholly owned subsidiary, to get closer to petrochemical feedstock and Middle East oil and gas customers. Size and timing not yet given.
- Ethylene oxide (EO) supply from Reliance was constrained, limiting ethoxylate volumes from the new Dahej plant. Healthy utilisation expected once Reliance's expansion lifts supply, perhaps by Q2 or Q3 of next year; peak utilisation targeted by end FY28.
- Institutional and B2C business broke even at EBITDA after losses; exit still planned 'at an appropriate time and value'.
- Debt: all cash flow goes to cutting debt first; working-capital debt could be gone by mid next year.

2c. Business mix & capacity

- Domestic about 69% / exports about 31% of Q2 FY27 revenue (27% in H1): exports are rising, target 30%+ for the year.
- Capacity: about 50,000 tonnes of new ethoxylation capacity at Dahej is built; use held back by EO supply. Peak revenue targeted at 3x the capex value, with peak use by end FY28.

3. Earning trigger thesis

The story is new capacity (Dahej ethoxylation, Unitop, Thailand) filling up with higher-value products like pharma excipients, personal care and oil and gas chemicals, plus exports. Revenue is clearly growing. Margins aren't: the core B2B margin slipped below management's own 14-16% band, and profit grows far slower than sales. Raw material supply from a single supplier caps Dahej for now.

Trigger	What management said	Evidence so far	Time horizon	Strength
Dahej and Unitop capacity	Peak use about two years after commissioning; 3x asset turn	EO supply constrained; peak by end FY28	FY28	Moderate
Exports	Exports to become a larger share; 30%+ this year	31% in Q2, up 34% year on year	Now	Strong
Higher-value products (pharma, aroma, oil and gas)	Steady gross margin gains as they scale	Pharma exports about Rs 50 cr last year; EXCiPACT registration for Unitop	1-2 years	Unproven in margins
Saudi Arabia plant	Greenfield plant near feedstock	Land lease approved	Years	Unproven

3b. Trigger check

Trigger type	Yes/ No	What was said (date)
Debt cut	Yes	'All cash flows will go into debt reduction'; gross borrowings down about Rs 46 cr in H1 (19 Oct 2026)
New business	Yes	Board approved land lease for a greenfield plant in Saudi Arabia (19 Oct 2026)
Margin up	No	Core B2B margin 14.1% vs 14.8% a year ago
New management	No	No change
New capacity	Yes	New Thailand blending facility 'ramping up steadily'; Dahej ethoxylation built (19 Oct 2026)
Big orders	No	Not an order-book business
Turnaround	No	B2C break-even is small
Promoter buying	No	Not said

Single concrete driver: New plants at Dahej and in Thailand plus a fast-growing export push are lifting sales, but EO supply limits Dahej and the core margin hasn't improved.

3c. Margin bridge

Group EBITDA margin was 12.5% vs 12.3% a year ago, flat. The B2C business swinging to break-even lifted the group, while the core B2B margin fell to 14.1% from 14.8% on raw material and freight costs and spending to seed new businesses and markets. Management expects improvement next year as utilisation rises. (one-off)

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
Q1 FY26 call (Jul 2025)	FY26 growth of 14-15% in revenue and EBITDA	FY26 revenue up about 15%	Delivered
Q4 FY25 call (May 2025)	Dahej and Unitop commissioning by Q2 FY26 (revised plan)	Dahej built; ramp held back by EO supply	Partly
Q4 FY25 / Q2 FY26 calls	Core B2B EBITDA margin 14.5-15% (later 14-16%)	13.5% in Q1 FY27, 14.1% in Q2 FY27	Missed

Q4 FY26 call (May 2026)	FY27 revenue growth about 15%	H1 up about 23%	Delivered (so far)
Q4 FY26 call	Consolidated margin 12-13%	11.6% Q1, 12.5% Q2	Partly

The core story has stayed the same for three years: build capacity, push exports, move to higher-margin products, exit B2C. Sales targets are met. Margin targets keep slipping into 'next year', and the Dahej timeline was revised once. The Saudi plant is a new and costly chapter.

5. Bottom line

Durable earning trigger? → MAYBE

Sales growth and exports are real. But the new capacity can't run fully until EO supply improves, the core margin has gone backwards, and profit is barely growing. The trigger is plausible, not yet in the bottom line.

Management consistent? → MAYBE

Revenue guidance has been delivered, and debt and working capital are improving as promised. Margin guidance keeps being missed and pushed out, and plant timelines slipped once. A mixed record.

6. Checkpoints for next quarter

- EO supply constraint eases and Dahej ethoxylate volumes rise
- Core B2B EBITDA margin gets back into the 14-16% band
- Net debt falls further by March 2027

Sources: Screener.in (ROSSARI) concall transcripts Jan 2024 to 19 Oct 2026; Screener financial tables. This is not investment advice. Do your own due diligence.